

BUS23-1

Sales, Negotiation & Client Relations

Negotiation theory, influence, sales cycles, and client relationships

Commercial judgment under asymmetric information.

Albert School — 22 hours

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1 The Harvard negotiation framework

Negotiation under asymmetric information — where each party knows things the other does not — is structured around a small set of formal concepts. This course assumes the strategic vocabulary of Marketing Fundamentals (BUS13-1): segmentation, positioning, and value-based pricing are taken as given and applied to commercial conversations rather than re-taught.

Definition 1 BATNA (Best Alternative To a Negotiated Agreement) is the course of action a party will take if no agreement is reached. It is the value of walking away, and it sets the floor below which a party should not accept a deal.

Definition 2 ZOPA (Zone Of Possible Agreement) is the range of outcomes that both parties prefer to their respective BATNAs. It exists only when the parties' acceptable ranges overlap; if they do not, there is no ZOPA and no deal.

Definition 3 MLATNA (Most Likely Alternative To a Negotiated Agreement) is the alternative a party realistically expects to obtain if no agreement is reached, as distinct from the **best** such alternative. It tempers BATNA by likelihood.

Definition 4 Integrative moves seek to enlarge the total value available to the parties ("expand the pie") by trading across issues valued differently. **Distributive** moves divide a fixed quantity of value between the parties ("claim the pie"). A negotiation may call for one, the other, or both in sequence.

Definition 5 A **position** is what a party says it wants (a specific demand). An **interest** is the underlying need or concern that the position is meant to serve. Several positions may serve the same interest; reframing around interests is what makes integrative moves possible.

Diagnosing a scenario means computing BATNA, ZOPA, and MLATNA, then judging whether the situation is primarily integrative (value can be created by trading across interests) or distributive (the parties are dividing a fixed amount).

2 Psychology of influence

Definition 6 Cialdini's six principles of influence are: **reciprocity** (people repay what they receive), **commitment and consistency** (people act in line with prior commitments), **social proof** (people follow what comparable others do), **authority** (people defer to credible experts), **liking** (people agree more with those they like), and **scarcity** (people value what is limited).

These principles are applied in sales and negotiation to structure a persuasive argument calibrated to the interlocutor. Calibration means selecting the principles that fit the specific buyer and situation, rather than applying all six indiscriminately.

Definition 7 Buyer cognitive biases relevant here are **anchoring** (judgments are pulled toward an initial reference value), **framing** (the same fact is evaluated differently depending on how it is presented), and **loss aversion** (a loss weighs more heavily than an equivalent gain).

3 Sales ethics: persuasion vs manipulation

The same principles that persuade can manipulate. The course treats Cialdini as a double-edged tool and requires students to locate the line between persuasion and manipulation.

Definition 8 **Persuasion** presents true information and genuine value in a way calibrated to the interlocutor's interests. **Manipulation** exploits a bias or principle to induce a decision against the interlocutor's interests, typically by deception or by manufacturing a false sense of reciprocity, scarcity, or social proof.

Common pitfall Each influence principle has a manipulative counterpart: manufactured scarcity, a fabricated reference price (anchoring), invented social proof. Applying a principle is persuasion only when the underlying claim is true and the interlocutor's interest is genuinely served.

4 The structured B2B sales cycle

Definition 9 **BANT** qualifies an opportunity on four criteria: **Budget** (can the buyer pay), **Authority** (is the contact the decision-maker), **Need** (is there a real problem), and **Timeline** (when will they decide). An opportunity that fails BANT is not yet worth advancing.

Definition 10 **SPIN** structures a discovery-led B2B sale through four question types: **Situation** (establish the facts of the buyer's context), **Problem** (surface difficulties and dissatisfactions), **Implication** (develop the consequences and cost of those problems), and **Need-payoff** (have the buyer articulate the value of a solution). The sequence moves the buyer from latent to explicit need.

A full SPIN cycle runs all four question types in order. The quality of a SPIN sale is judged on the depth of discovery (Situation, Problem, Implication) rather than on closing style.

5 AIDA for B2C, and its boundary with SPIN

Definition 11 **AIDA** models a B2C buyer's progression through four stages: **Attention**, **Interest**, **Desire**, and **Action**. It describes a sequence the seller's messaging moves the buyer through.

SPIN and AIDA are not interchangeable. SPIN is a discovery-driven, question-based method for complex sales with an identifiable buyer and a problem to be developed; AIDA is a one-to-many attention-to-action progression suited to shorter B2C purchases. They are interchangeable only where the buying context shares the relevant conditions — a single buyer, a simple offer, a short cycle — and not where complex, multi-stakeholder discovery is required.

6 Objection handling and closing

Definition 12 **Feel-Felt-Found** acknowledges an objection (“I understand how you feel”), normalises it (“others felt the same”), and resolves it with evidence (“what they found was...”). Its tactical principle is to lower resistance by acknowledgment before countering.

Definition 13 **Reframing** restates an objection within a different frame so that it no longer blocks the decision — for example, recasting a price objection as a question of value or cost-of-inaction.

Definition 14 **Strategic silence** is the deliberate withholding of speech after a statement or offer, using the other party's discomfort with silence to elicit information or a concession.

Each move is driven by a tactical principle — acknowledgment before counter, change of frame, or pressure through silence — and handling an objection means naming the principle that applies, not reciting a script.

7 Sales-pipeline economics and funnel hygiene

Definition 15 A **sales pipeline** is the sequence of defined stages an opportunity passes through from lead to closed deal. **Stage definitions** are the explicit criteria that mark entry into each stage.

Definition 16 **Conversion** is the proportion of opportunities that pass from one stage to the next; **benchmarks** are reference conversion rates for comparison. **Leakage** is the loss of opportunities between stages, and **funnel hygiene** is the discipline of keeping stage definitions and data accurate so leakage can be measured.

Diagnosing a pipeline means checking stage definitions, comparing conversion against benchmarks, locating leakage points, and identifying the two levers most likely to improve end-to-end

conversion — the two stage-to-stage transitions where improvement would most raise the overall rate.

8 Value-based pricing conversations

Building on value-based pricing from BUS13-1, the pricing **conversation** is the negotiation in which that value is claimed.

Definition 17 Anchoring in a pricing conversation is opening with a reference price that shapes the counterpart's expectations. **Concession design** is the planned sequence and size of price moves, structured to signal diminishing room rather than conceded at random.

Definition 18 Package pricing presents the offer as a single bundled price; **line-item pricing** itemises each component. The choice is a trade-off: packaging obscures component costs and resists itemised discounting, while line-item pricing offers transparency at the cost of inviting component-by-component negotiation.

Structuring a pricing conversation for a named account means choosing an anchor, designing the concession path, and selecting package-vs-line-item framing, while stating the trade-off each choice entails.

9 Client relationship management over time

Definition 19 Client relationship management over time covers four elements: **on-boarding** (bringing a new client to first value), **follow-up cadence** (the regular rhythm of contact after the sale), **upsell triggers** (the signals that indicate an opportunity to expand the account), and a **conflict-resolution protocol** (the defined procedure for handling disputes).

A relationship management plan specifies each of the four elements for a given account: how the client is onboarded, at what cadence they are contacted, which observable triggers prompt an upsell, and how conflicts are to be resolved.

10 Multi-party and team negotiation; advanced tactics

Definition 20 Multi-party negotiation involves more than two parties, introducing coalitions and shifting majorities. **Team negotiation** involves multiple negotiators on one side, requiring internal coordination of roles.

Definition 21 Advanced tactical moves include **artificial deadlines** (a fabricated time limit to force a decision), **good cop / bad cop** (one negotiator pressures while another appears conciliatory), and **aggressive anchoring** (an extreme opening to shift the reference point). Each has a **countermove**: testing the deadline's reality, naming the good-cop/bad-cop routine, and re-anchoring against an extreme open.

Performing such a negotiation means deploying these tactics where appropriate and countering them when they are used, then producing a post-hoc debrief that names what was conceded and

why. The culminating assessment is a complex multi-party negotiation simulation run under real conditions before an external-practitioner jury.

Exercises

- 1.** For a given negotiation scenario, calculate BATNA, ZOPA, and MLATNA, then diagnose whether the situation calls for integrative or distributive moves.
- 2.** On a live case, distinguish the parties' interests from their positions and reframe a stalled negotiation around the underlying interests.
- 3.** Structure a persuasive argument for a specific interlocutor using Cialdini's six principles and the buyer biases of anchoring, framing, and loss aversion. Identify the point at which each principle used would tip into manipulation.
- 4.** Qualify a B2B opportunity with BANT, then conduct a full SPIN cycle — Situation, Problem, Implication, Need-payoff — on a recorded roleplay. Critique discovery quality rather than closing style.
- 5.** Apply AIDA to a B2C context and state the boundary conditions under which SPIN and AIDA are or are not interchangeable.
- 6.** Handle a set of objections using Feel-Felt-Found, reframing, and strategic silence, naming the tactical principle behind each move.
- 7.** Diagnose a B2B pipeline: check stage definitions, compare conversion against benchmarks, locate leakage, and identify the two levers most likely to improve end-to-end conversion.
- 8.** Structure a value-based pricing conversation for a named account: choose an anchor, design the concessions, and select package-vs-line-item framing, stating the trade-off in each choice.
- 9.** Construct a client relationship management plan covering onboarding, follow-up cadence, upsell triggers, and a conflict-resolution protocol.
- 10.** Perform a complex multi-party negotiation, deploying and countering advanced tactical moves (artificial deadlines, aggressive anchoring, good cop / bad cop), and produce a post-hoc debrief naming what was conceded and why.